

26STCV19107 26STCV19107

County: los-angeles

Division: Civil Law and Motion

Department: 511

Hearing date: 2026-09-28

Source URL:

https://www.lacourt.ca.gov/tentativeRulingNet/ui/main.aspx?casetype=civil&dept_date=LAM%2C511%2C09%2F28%2F2026

Source SHA-256: 4e2a8740164e2aee575e960721a4e1e64de4bd855e720948c29dc998766377ae

Case Number: 26STCV19107 Hearing Date: September 28, 2026 Dept: 511

Tentative Ruling

Judge Upinder S.

Kalra, Department 511

HEARING DATE: September

28, 2026

CASE NAME: Juan

Pablo Abaraca-Reyes v. Hyundai Motor America

CASE NO.: 26STCV19107

MOTION

TO COMPEL ARBITRATION

MOVING PARTY: Defendant

Hyundai Motor America

RESPONDING PARTY(S): Plaintiff Juan Pablo

Abaraca-Reyes

REQUESTED RELIEF:

1. An

order compelling Plaintiff to arbitration his claims and to stay the action pending arbitration.

TENTATIVE RULING:

1. Motion

to compel arbitration is DENIED.

STATEMENT OF MATERIAL FACTS AND/OR PROCEEDINGS:

On June 15, 2026, Plaintiff Juan Pablo Abaraca-Reyes (Plaintiff) filed a Song-Beverly complaint against Defendant Hyundai Motor America (Hyundai) with causes of action for: (1) violation of Civ. Code § 1793.2(d); (2) violation of Civ. Code § 1793.2(b); (3) violation of Civ. Code § 1793.2(a)(3); (4) breach of express written warranty; (5) breach of implied warranty of merchantability; and (6) violation of Tanner Consumer Protection Act.

According to the complaint, Plaintiff leased a 2026 Hyundai Ioniq 5 (the Vehicle) from Hyundai which developed defects during the warranty period that Hyundai's representative could not repair.

On August 11, 2026, Hyundai filed the instant motion to compel arbitration. On September 14, 2026, Plaintiff filed an opposition. On September 21, 2026, Hyundai filed an untimely reply.

LEGAL STANDARD:

A written provision in any contract evidencing a transaction involving commerce to settle by arbitration a controversy thereafter arising out of such contract shall be valid, irrevocable, and

enforceable, save upon such grounds as exist at law or in equity for the revocation of any contract. (9 U.S.C. § 2.) The Federal Arbitration Act (FAA) requires courts to direct parties to proceed to arbitration on issues covered by an arbitration agreement upon a finding that the making of the arbitration agreement is not in issue. (9 U.S.C. § 4; Chiron Corp. v. Ortho Diagnostic Sys., (9th Cir. 2000) 207 F.3d 1126, 1130.) "The court's role under the [FAA] is therefore limited to determining (1) whether a valid agreement to arbitrate exists and, if it does, (2) whether the agreement encompasses the dispute at issue." (Chiron Corp., supra, 207 F.3d at p. 1130.) The FAA reflects "both a 'liberal federal policy favoring arbitration,' [citation], and the 'fundamental principle that arbitration is a

matter of contract,' [citation].'" (AT&T Mobility LLC v. Concepcion,(2011) 563 U.S. 333, 339.)

“ “The party seeking to compel arbitration bears the burden of proving the existence of an arbitration agreement, while the party opposing the petition bears the burden of establishing a defense to the agreement’s enforcement.” ” (Beco v. Fast Auto Loans,(2022) 86 Cal.App.5th 292, 302.) The burden of production as to this finding shifts in a three-step process. (Gamboa v. Northeast Community Clinic,(2021) 72 Cal.App.5th 158, 165.) First, the moving party bears the burden of producing prima facie evidence of a written agreement to arbitrate, which can be met by attaching a copy of the arbitration agreement purporting to bear the opponent’s signature. (Ibid.) If the moving party meets this burden, the opposing party bears, in the second step, the burden of producing evidence to challenge its authenticity. (Ibid.) If the opposing party produces evidence sufficient to meet this burden, the final step requires the moving party to establish, with admissible evidence, a valid arbitration agreement between the parties. (Ibid.)

ANALYSIS:

Request for
Judicial Notice

The court GRANTS Hyundai’s request for judicial notice of Plaintiff’s complaint. (Evid. Code § 452(d).) The court DENIES Plaintiff’s request for judicial notice of excerpts of the legislative history of certain Federal regulations and reports as immaterial to this ruling.

Compel Arbitration

Existence of Arbitration Agreement

The burden of production as to this finding shifts in a three-step process. (Gamboa v. Northeast Community Clinic,(2021) 72 Cal.App.5th 158, 165.) First, the moving party bears the burden of producing prima facie evidence of a written agreement to arbitrate, which can be met by attaching a copy of the arbitration agreement

purporting to bear the opponent's signature or by setting forth the agreement's provisions. (Id.) If the moving party meets this burden, the opposing party bears, in the second step, the burden of producing evidence to challenge its authenticity. (Ibid.) If the opposing party produces evidence sufficient to meet this burden, the third and final step requires the moving party to establish, with admissible evidence, a valid arbitration agreement between the parties. (Ibid.)

Hyundai met their initial burden to establish an arbitration agreement exists. Notably, the produced a copy of the agreement and stated its terms verbatim in their motion (Declaration of Ali Ameripour (Ameripour Decl.) ¶ 4, Exhibit 2 [Owner's Handbook & Warranty Information]). This is sufficient to meet the initial burden and to shift the burden to Plaintiff. (*Kostandian v. American Honda Motor Co., Inc.* (2026) 120 Cal.App.5th 872, 882.)

Next, the court addresses the equitable estoppel argument.

"[I]f a plaintiff relies on the terms of an agreement to assert his or her claims against a nonsignatory defendant, the plaintiff may be equitably estopped from repudiating the arbitration clause of that very agreement." (*Goldman v. KPMG, LLP* (2009) 173 Cal.App.4th 209, 220.)

After reviewing the motion, the supporting declarations, and the complaint, Plaintiff is estopped from refuting the arbitration agreement contained in the warranty. First, his claims against Hyundai are based on breach of the express warranty.[1] (See, e.g., Compl. ¶¶ 11, 12, 13, 27-29.) Indeed, he confirms his claim is based on the warranty. (Declaration of Juan Pablo Abarca-Reyes ¶ 1 ["regarding my warranty claims" against Hyundai]) Second, as in *Kostandian*, Plaintiff has no evidence supporting an assertion of lack of mutual assent.[2] In short, Plaintiff cannot avoid the arbitration provisions in the warranty while simultaneously seeking to hold Hyundai liable for failing to conform to that warranty.

Therefore, an arbitration agreement exists.

ii.

Applicability
to Current Dispute

Plaintiff argues the Agreement does not cover this matter because it is carved out via the Magnuson Moss Warranty Act. However, Plaintiff does not bring such a claim. His breach of express warranty claim is rooted in Song-Beverly, Civ. Code § § 1791.2. (Compl. ¶¶ 26-29.)

Other than that, the Agreement covers the subject dispute. It specifically covers any and all claims or disputes:

related to

or arising out of your vehicle purchase, advertising for the vehicle, use

of your

vehicle, the performance of the vehicle, any service relating to the vehicle, the vehicle warranty, representations in the warranty, or the duties contemplated under the warranty, including without limitation claims related to false or misleading advertising, unfair competition, breach of contract or warranty, the failure to conform a vehicle to warranty, failure to repurchase or replace your vehicle, or claims for a refund or partial refund of your vehicle's purchase price (excluding personal injury claims)

(Ameripour Decl., Exhibit 2, Warranty Section 4.)

As discussed above, Plaintiff's complaint is based on Hyundai's failure to conform the Vehicle to warranty, breach of the warranty, and failure to repurchase or replace the Vehicle.

Therefore, the dispute is covered by the arbitration agreement.

iii.

Defenses to Enforceability

In *Armendariz*, the California Supreme Court stated that when determining whether an arbitration agreement was unconscionable, there is both a procedural and a substantive element. (*Armendariz v. Foundation Health Psychcare Service, Inc.* (2000) 24 Cal.4th 82, 114 (*Armendariz*)).

i.

Procedural Unconscionability

Plaintiff argues the Agreement is procedurally unconscionable because it is a post-sale adhesion contract that he had no opportunity to negotiate.

Hyundai contends there is no procedural unconscionability because there is an opt-out provision and they have no obligation to direct Plaintiff to the agreement.

Courts determine whether an agreement is procedurally unconscionable by looking at surprise and oppression. Oppression is an “inequality of bargaining power, when one party has no real power to negotiate or a meaningful choice. Surprise occurs when the allegedly unconscionable provision is hidden.” (Carmona v. Lincoln Millennium Car Wash, Inc. (2014) 226 Cal.App.4th 74, 84 (Carmona).) Examples of contracts that are procedurally unconscionable are contracts of adhesion, which is a “standardized contract, which, imposed and drafted by the party of superior bargaining strength, relegates to the subscribing party only the opportunity to adhere to the contract or reject it.” (Armendariz, supra, at p. 113). “The circumstances relevant to establishing oppression include, but are not limited to (1) the amount of time the party is given to consider the proposed contract; (2) the amount and type of pressure exerted on the party to sign the proposed contract; (3) the length of the proposed contract and the length and complexity of the challenged provision; (4) the education and experience of the party; and (5) whether the party’s review of the proposed contract was aided by an attorney. (OTO, L.L.C. v. Kho (2019) 8 Cal.5th 111, 126-27 (OTO).)

Here, there is minimal procedural unconscionability. First, the Warranty is adhesive since Plaintiff had no meaningful ability to negotiate it after he purchased his vehicle. (See Abarca-Reyes Decl. ¶¶ 5, 6, 7.) Second, the inclusion of an opt-out provision “does not insulate an arbitration agreement from a finding of procedural unconscionability.” (Swain v. LaserAway Medical Group, Inc. (2020) 57 Cal.App.5th 59, 69.) Plaintiff provided evidence that the transaction occurred “in a high-pressure, in-dealership environment” which weighs towards oppression. (Abarca-Reyes Decl. ¶ 7.) But this is not evidence showing lack of time to consider the warranty. (Swain, supra, 57 Cal.App.5th at p. 69.) Still, there is evidence of surprise since it is undisputed the Warranty was presented after the transaction concluded and no one advised Plaintiff there was an opt-out provision.

As such, there is minimal procedural unconscionability.

ii.

Substantive Unconscionability

Plaintiff argues the Agreement is substantively unconscionable because the applicability to claims is one-sided (lacks mutuality) since Plaintiff is the only party realistically to file warranty claims against Hyundai. He also argues it includes an unconscionable delegation clause.

Hyundai contends no authority holds that an agreement to arbitrate a Song-Beverly violation is unconscionable and the delegation clause argument is inapplicable to this dispute.

“Substantive unconscionability pertains to the fairness of an agreement’s actual terms and to assessments of whether they are overly harsh or one-sided.” (Carmona, supra, at p. 85). There are five minimum substantive requirements to an enforceable arbitration agreement: (1) neutral arbitrators, (2) more than minimal discovery, (3) written award sufficient for judicial review, (4) all types of relief otherwise available in court, and (5) no unreasonable costs or fees as a condition of access. (Armendariz, supra, at p.102.) When there is little procedural unconscionability, a party opposing arbitration must show substantial substantive unconscionability. (Id. at 114.)

Here, there is substantial substantive unconscionability.

Notably, the Agreement lacks mutuality. On its face, the Agreement states it applies to both Plaintiff and Hyundai. (Ameripour Decl., Exhibit 2.) However, on closer inspection, the claims subject to arbitration are really only claims Plaintiff (as a consumer) would bring against Hyundai. (Ibid.) This is heavily unconscionable. (Baker v. Osborne Development Corp. (2008) 159 Cal.App.4th 884, 896-897.)

Therefore, the Agreement is substantially substantively unconscionable.

Accordingly, the court DENIES Hyundai’s motion to compel arbitration.

CONCLUSION:

For

the foregoing reasons, the Court decides the pending motion as follows:

1. Motion

to compel arbitration is DENIED.

Moving party is to give notice.

IT IS SO ORDERED.

Dated: September 28, 2026 _____ Upinder

S. Kalra

Judge

of the Superior Court

[1]

With that in mind, the court rejects Plaintiff's argument that his claims are purely statutory.

[2]

The Court of Appeal in *Kostandian*

also discussed inapplicability of *Norcia*

v. *Samsung Telecommunications Am., LLC* (9th Cir. 2017) 845 F.3d 1279 for

involving a nonwarranty dispute. (*Kostandian*,

supra, 120 Cal.App.5th at p. 883.) They also distinguished *Knutson v. Sirius XM Radio Inc.* (9th

Cir. 2014) 771 F.3d 559 in that case for lacking evidence of when the plaintiff

received the warranty booklet or otherwise showing lack of belief of a

contractual relationship with the vehicle manufacturer. (*Id.* at p. 884.) So, too, here.